

U.S. SMID-Cap Software

Datadog Inc

Rating

Market-Perform

Price Target

 **DDOG**

226.00 USD



Peter Weed
+1 917 344 8390
peter.weed@bernsteinsg.com



Luwei Yang
+1 917 344 8342
luwei.yang@bernsteinsg.com

Datadog (DDOG): AWS Q2 results readthrough to earnings

With Datadog's earnings just a week away, we want to offer a quick updated readthrough from AWS' Q2 earnings Thursday after market. If you have been following our quarterly AWS web metric work (latest note [here](#)), you may remember that we've found AWS' ex-AI revenue to be a strong signal for the core customers that make up ~85% of Datadog's revenue (the remaining ~15% are Born-in-AI customers, with more than half of that we believe being driven by the two largest AI Labs). We won't bury the lede any deeper: AWS reported 36.7% YoY growth, up from 28.4% last quarter. But this includes AI revenue that grew to "more than \$25B ARR" in Q2 up from "more than \$15B ARR" in Q1. With the AI revenue excluded, we think AWS ex-AI grew QoQ in the ~6% range.

AWS signal: very close to our published Datadog model. Yes, there is a potential few \$MM of error in this read through model (we think more likely to the upside), the least of which is AWS isn't super specific in their AI revenue communications, plus the web metric work is good with mid 0.9x r² that still leaves a little wiggle. But nothing we heard in the earnings would be enough for us to change the directional message in our current model: this quarter is likely to see further step-up in core revenue growth in the mid 100bps range (last quarter we estimate at ~26.0%, and think this quarter would be low-to-mid 27.x% range).

AWS web metrics update: July starting behind, but good trajectory (in line with our model expectation). A quick update on AWS web metrics that we use on a +1 quarter basis to preview how we think core growth could evolve. As we've covered before, Q2 growth flat lined for the latter part of the quarter ([Exhibit 1](#)), but this still puts it ahead of 2025 (which was impacted by DOGE/tariffs until late in the quarter) so there will likely be a small further Q3 revenue growth tailwind. BUT! Q4 we warned was likely to see YoY growth headwinds because the -1 year comp is very tough, and the starting point in the quarter is weak ([Exhibit 2](#)). Our model assumes slightly above "normal" QoQ growth, and that looks like the current trajectory. The result would be Q4 seeing nearly 200bps YoY growth headwind, if so. *Note: for the "Born-in-AI" component of our model, see our note [here](#).*

Investment Implications

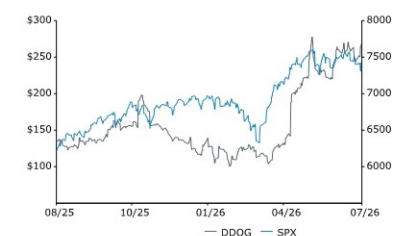
No change to our model, \$226 PT or Market-Perform recommendation

Adjusted EPS	F25A	F26E	F27E	Financials	F25A	F26E	F27E	CAGR	Valuation Metrics	25A	26E	27E
DDOG (USD)	2.05	2.69	3.37	Cost of Goods Sold (M)	686.96	928.45	1,164	--	EV/EBIT (x)	N/M	644	254
				FCF (M)	914.72	1,296	1,747	--	Adjusted P/E (x)	130.7	100.0	79.6
				Operating Earnings (M)	768.04	1,086	1,420	--	EV/FCF (x)	100.7	71.1	52.7
				Revenues (M)	3,427	4,543	5,654	28.4%	EV/Sales (x)	26.9	20.3	16.3

Source: Bloomberg, Bernstein estimates and analysis.

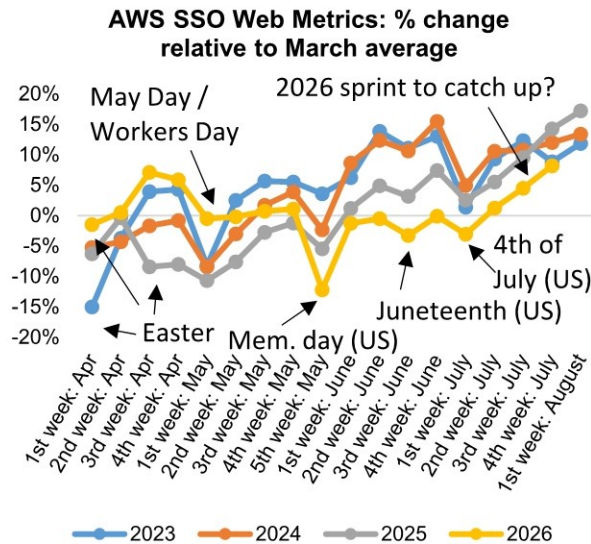
Close Date	30 Jul 2026			
DDOG Close Price (USD)	268.56			
Price Target (USD)	226.00			
Upside/(Downside)	(16)%			
52-Week Range	278.71/98.01			
SPX	7,437.63			
FYE	Dec			
Div Yield	NA			
Market Cap (USD) (M)	95,605			
EV (USD) (M)	92,132			
Performance	YTD	1M	6M	12M
Absolute (%)	97.5	3.1	107.7	80.4
SPX (%)	8.6	(0.8)	7.2	16.9
Relative (%)	88.8	4.0	100.5	63.5
Source: Bloomberg, Bernstein estimates and analysis.				

Price Performance, 1YR



DETAILS

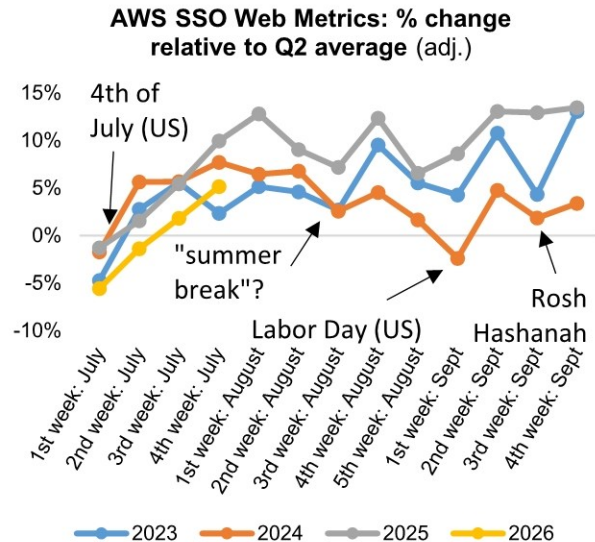
EXHIBIT 1: AWS web metrics were tracking well above prior year levels in April but began to level off in May, with the relative softness persisting through June. After the July 4th holiday, the consumption trend started to pick up again, following a similar trajectory to prior years. Because 2025 was even weaker, this signals acceleration will continue modestly into Q3. [reminder: current quarter web metrics are similar to ARR added, thus signal +1 quarter revenue recognition, with Q2 web metrics signaling Q3 revenue, in this case]



AWS SSO = awsapps.com

Similarweb data for 4th week in July includes a Bernstein estimate for Saturday July 25th (as the data is not yet available) — this day is normally a very small contributor, so we anticipate our estimate to be roughly accurate.
Source: Similarweb, Bernstein estimates and analysis

EXHIBIT 2: Although this July started at a lower base than the prior years due to the softness we saw in Q2, the trend has large tracked the pattern observed in 2025. Our model assumes it to mirror 2025's trajectory for the remainder of the quarter, allowing it to catch up from a weak starting point and result in a "normal" sequential growth quarter close or a bit above 2023 (but still below 2025, implying some YoY growth headwinds in Q4 revenue recognition). [reminder: current quarter web metrics are similar to ARR added, thus signal +1 quarter revenue recognition]



AWS SSO = awsapps.com

Similarweb data for 4th week in July includes a Bernstein estimate for Saturday July 25th (as the data is not yet available) — this day is normally a very small contributor, so we anticipate our estimate to be roughly accurate.
Source: Similarweb, Bernstein estimates and analysis

APPENDIX - FINANCIAL FORECASTS

EXHIBIT 3: Datadog Financial Summary

Datadog \$ Thousands	2020 12/31/2020	2021 12/31/2021	2022 12/31/2022	2023 12/31/2023	2024 12/31/2024	2025 12/31/2025	Q126 3/31/2026	Q226 6/30/2026	Q326 9/30/2026	Q426 12/31/2026	2026 12/31/2026	2027 12/31/2027	2028 12/31/2028
Income Statement (Non-GAAP)	2020	2021	2022	2023	2024	2025	Q126	Q226	Q326	Q426	2026	2027	2028
Total Revenue	603,466	1,028,784	1,675,100	2,128,359	2,684,275	3,427,158	1,006,426	1,114,858	1,190,299	1,231,810	4,543,393	5,653,900	7,066,261
Cost of Revenue (Non-GAAP)	127,273	225,543	328,900	383,925	483,222	651,105	199,200	218,432	230,832	236,419	884,884	1,112,518	1,404,626
Gross Profit (Non-GAAP)	476,193	803,241	1,346,200	1,744,434	2,201,053	2,776,053	807,226	896,426	959,466	995,391	3,658,510	4,541,382	5,661,635
R&D (Non-GAAP)	172,511	309,684	504,847	627,902	758,268	1,038,742	300,351	349,366	356,274	356,024	1,362,016	1,666,107	2,011,772
S&M (Non-GAAP)	189,886	257,513	414,962	500,597	629,007	793,082	235,272	246,045	245,836	273,117	1,000,269	1,206,511	1,438,264
G&A (Non-GAAP)	50,195	70,986	100,111	125,692	139,565	176,184	48,106	51,059	54,514	56,415	210,095	248,952	287,630
Total Operating Expenses (Non-GAAP)	412,592	638,183	1,019,920	1,254,191	1,526,840	2,008,008	583,729	646,470	656,624	685,556	2,572,380	3,121,570	3,737,666
Operating Income (Non-GAAP)	63,601	165,058	326,280	490,243	674,213	768,044	223,497	249,956	302,842	309,835	1,086,130	1,419,812	1,923,969
Margin %	11%	16%	19%	23%	25%	22%	22%	22.4%	25.4%	25.2%	23.9%	25.1%	27.2%
Interest income and other, net	10,278	4,083	23,994	97,087	153,417	176,996	52,850	39,070	41,110	43,559	176,389	210,330	280,947
[Non-GAAP] Earnings before taxes	73,879	169,141	350,274	587,330	827,630	945,040	276,147	289,026	343,952	353,394	1,262,519	1,630,141	2,204,916
Provision for income taxes	(2,325)	(2,323)	(73,557)	(123,339)	(173,802)	(198,458)	(57,991)	(60,696)	(72,230)	(74,213)	(265,130)	(342,330)	(463,033)
Net income (loss)	71,554	166,818	276,717	463,991	653,828	746,582	218,156	228,331	271,722	279,181	997,389	1,287,811	1,741,882
Net income attributable to common shareholders	71,554	166,818	276,717	463,991	653,828	746,582	218,156	228,331	271,722	279,181	997,389	1,287,811	1,741,882
Earnings (loss) per share - Basic	\$0.24	\$0.54	\$0.88	\$1.43	\$1.94	\$2.15	\$0.62	\$0.64	\$0.75	\$0.77	\$2.78	\$3.48	\$4.58
Earnings (loss) per share - Diluted	\$0.22	\$0.48	\$0.80	\$1.32	\$1.82	\$2.05	\$0.60	\$0.62	\$0.73	\$0.74	\$2.69	\$3.37	\$4.47
Balance Sheet	2020	2021	2022	2023	2024	2025	Q126	Q226	Q326	Q426	2026	2027	2028
Cash and cash equivalents	224,927	270,973	338,985	330,339	1,246,983	401,305	426,360	472,192	504,032	545,121	545,121	708,339	924,191
Marketable securities	1,292,532	1,283,473	1,545,341	2,252,559	2,942,076	4,073,531	4,332,257	4,575,786	4,880,046	5,274,449	5,274,449	6,925,929	9,131,469
Receivables	163,359	268,824	399,551	509,279	598,919	741,262	680,434	812,983	737,153	908,108	908,108	1,085,313	1,279,836
Other current assets	37,262	47,678	60,357	85,960	123,137	166,182	186,155	174,825	195,734	213,015	213,015	259,796	300,278
Total current assets	1,718,080	1,870,948	2,344,234	3,178,137	4,911,115	5,382,280	5,625,206	6,035,786	6,316,964	6,940,693	6,940,693	8,979,376	11,635,773
Total PPE	47,197	75,152	125,346	171,872	226,970	338,093	378,844	411,592	445,867	480,333	480,333	626,969	804,480
Other assets	125,008	434,694	535,272	586,063	647,254	923,471	947,862	950,046	957,647	973,683	973,683	1,011,081	1,035,440
Total assets	1,890,285	2,380,794	3,004,852	3,936,072	5,785,339	6,643,844	6,952,012	7,397,424	7,720,478	8,394,709	8,394,709	10,617,426	13,475,693
Accounts payable	21,342	25,270	23,474	87,712	107,731	148,791	174,801	275,643	224,798	233,704	233,704	314,473	375,230
Other current liabilities	276,502	503,426	736,274	915,340	1,120,959	1,442,610	1,481,102	1,542,320	1,580,028	1,885,914	1,885,914	2,437,914	3,114,301
Total current liabilities	297,844	528,696	759,748	1,003,052	1,862,713	1,591,401	1,655,903	1,817,963	1,804,826	2,119,617	2,119,617	2,752,387	3,489,531
Deferred revenue, non-current	3,450	13,896	12,944	21,210	22,693	68,711	50,918	51,407	54,389	70,452	70,452	87,511	111,315
Other liabilities, non-current	631,559	796,999	821,655	886,456	1,185,570	1,251,526	1,256,969	1,274,129	1,291,281	1,309,124	1,309,124	1,381,771	1,459,265
Total non-current liabilities	635,009	810,895	834,599	907,666	1,208,263	1,320,237	1,307,887	1,325,536	1,345,670	1,379,575	1,379,575	1,469,282	1,570,580
Total Liabilities	932,853	1,339,591	1,594,347	1,910,718	3,070,976	2,911,638	2,963,790	3,143,499	3,150,496	3,499,193	3,499,193	4,221,669	5,060,111
Total Equity	957,432	1,041,203	1,410,505	2,025,354	2,714,363	3,732,206	3,988,222	4,253,925	4,569,982	4,895,516	4,895,516	6,395,757	8,415,582
Total Liabilities and Equity	1,890,285	2,380,794	3,004,852	3,936,072	5,785,339	6,643,844	6,952,012	7,397,424	7,720,478	8,394,709	8,394,709	10,617,426	13,475,693
Balance Sheet Check	-	-	-	-	-	-	-	-	-	-	-	-	-
Cash Flow Statement	2020	2021	2022	2023	2024	2025	Q126	Q226	Q326	Q426	2026	2027	2028
Cash used for operating activities	109,091	286,545	418,407	659,954	870,603	1,050,135	334,622	323,541	372,170	471,649	1,501,981	1,995,230	2,677,260
Cash used for investing activities	(1,152,624)	(273,740)	(384,670)	(731,365)	(736,840)	(1,334,480)	(314,798)	(281,331)	(344,765)	(435,898)	(1,376,792)	(1,855,054)	(2,486,562)
Cash used for financing activities	670,276	34,940	36,023	58,279	787,083	(572,483)	9,711	3,622	4,435	5,339	23,107	23,042	25,154
Effect of exchange rate changes on cash and cash equivalents	779	(1,993)	(1,935)	1,183	(4,202)	11,150	(4,480)	-	-	-	(4,480)	-	-
Increase (decrease) in cash, cash equivalents, and restricted cash	(372,478)	45,752	67,825	(11,949)	916,644	(845,678)	25,055	45,832	31,840	41,089	143,816	163,218	215,851
Cash, cash equivalents and restricted cash at beginning of period	601,189	228,711	274,463	342,288	330,339	1,246,983	401,305	426,360	472,192	504,032	401,305	545,121	708,339
Cash, cash equivalents and restricted cash at end of period	228,711	274,463	342,288	330,339	1,246,983	401,305	426,360	472,192	504,032	545,121	545,121	708,339	924,191
Cash flow from operations	109,091	286,545	418,407	659,954	870,603	1,050,135	334,622	323,541	372,170	471,649	1,501,981	1,995,230	2,677,260
FCF	83,208	250,520	353,518	597,548	775,103	914,717	289,091	273,104	318,320	415,922	1,296,437	1,747,055	2,368,175

Source: Company reports, Bernstein estimates and analysis

BERNSTEIN TICKER TABLE

Ticker	Rating	Cur	30 Jul 2026	Price Target	TTM	Adjusted EPS				Adjusted P/E (x)		
			Closing Price		Rel. Perf.							
DDOG (Datadog)	M	USD	268.56	226.00	63.5%	USD	2.05	2.69	3.37	130.7	100.0	79.6
SPX			7,437.63									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

DISCLOSURE APPENDIX

I. REQUIRED DISCLOSURES

References to "Bernstein" or the "Firm" in these disclosures relate to the following entities: Bernstein Institutional Services LLC (April 1, 2024 onwards), Sanford C. Bernstein & Co., LLC (pre April 1, 2024), Bernstein Autonomous LLP, BSG France S.A. (April 1, 2024 onwards), Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司, Sanford C. Bernstein (Canada) Limited, Sanford C. Bernstein (India) Private Limited (SEBI registration no. INH000006378), Sanford C. Bernstein (Singapore) Private Limited, Sanford C. Bernstein Japan KK (サンフォード・C・バーンスタイン株式会社) and analysts employed by Société Générale Africa Technologies & Services to produce Bernstein research under a Global Services Agreement in place between Bernstein and Société Générale.

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VALUATION METHODOLOGY**Datadog Inc**

Our price target of \$226 is an average of DCF (with 11% WACC and 3% terminal growth) and P / Sales (Next 5-8Q) comp multiple. P / Sales (Next 5-8Q) comp multiple of 16x is based on a peer-SaaS regression in their relevant >10% OpM Cloud SaaS cohort from our "Rule-of-40" based valuation framework analysis. We assume current Cloud SaaS multiples regression line remains consistent for 1+ year.

RISKS**Datadog Inc**

Downside risks beyond the macroeconomic risks include: increased competition from well-funded competitors in the industry; margin expansion slower than expected due to worse scale leverage in operating costs items; execution missteps or missed earnings expectations could lead to significant downside given the current valuation. Upside risks include: better product traction than expected, better than anticipated pace of new cloud workloads going into production, more major AI-customer wins, more upside in "Born-in-AI" customer growth.

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION**EQUITY RATINGS DEFINITIONS****Bernstein brand**

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIAX) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

The Bernstein brand has three categories of ratings:

- Outperform: Stock will outpace the market index by more than 15 pp
- Market-Perform: Stock will perform in line with the market index to within +/-15 pp
- Underperform: Stock will trail the performance of the market index by more than 15 pp

Coverage Suspended: Coverage of a company under the Bernstein research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors

on events and developments.

Not Covered (NC) denotes companies that are not under coverage.

Bernstein brand stock ratings are based on a 12-month time horizon.

Autonomous brand – common stocks

The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 600 Financials Price Return Index (E600BK) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 600 Insurance Price Return Index (E600IN) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments, and the Bloomberg Japan Financials Large & Mid Cap Price Return Index (JPFILM) for Japanese Financials. Ratings are stated relative to the sector (not the market).

The Autonomous brand has three categories of common stock ratings:

- Outperform (OP): Stock will outpace the relevant index by more than 10 pp
- Neutral (N): Stock will perform in line with the market index to within +/- 10 pp
- Underperform (UP): Stock will trail the performance of the relevant index by more than 10 pp

Coverage Suspended: Coverage of a company under the Autonomous research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

Not Covered (NC) denotes companies that are not under coverage.

Autonomous brand common stock ratings are based on a 12-month time horizon.

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The Autonomous brand has three categories of preferred stock ratings:

- Outperform (OP): The total return of the preferred instrument is expected to outperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Neutral (N): The total return of the preferred instrument is expected to perform in line with preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Underperform (UP): The total return of the preferred instrument is expected to underperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.

Autonomous preferred stock ratings are based on a 6-month time horizon.

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Where this report contains investment recommendations for credit instruments, as defined in article 3(1)(35) of the Market Abuse Regulation, the information below is presented to comply with its disclosure requirements.

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The Autonomous brand has three categories of credit ratings:

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Autonomous credit ratings are based on a 6-month time horizon.

A list of all investment recommendations produced by the author(s) of this report alongside credit ratings history are available upon request.

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DISTRIBUTION OF EQUITY RATINGS/INVESTMENT BANKING SERVICES

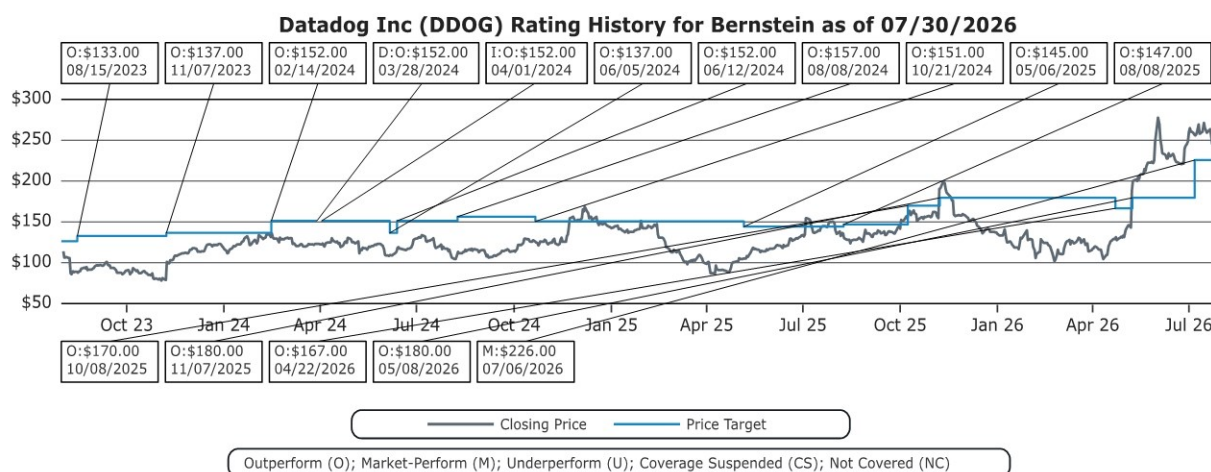
Equity Rating	Market Abuse Regulation (MAR) and FINRA Rating Category	Global Rating Distribution	Investment Banking Relationships*
Outperform	BUY	51.2%	15.3%
Market-Perform (Bernstein Brand) Neutral (Autonomous Brand)	HOLD	35.8%	16.2%
Underperform	SELL	13.1%	13.6%

* These figures represent the percentage of companies within each equity rating category for which affiliates of Bernstein have provided investment banking services within the previous 12 months.

As of June 30, 2026. All figures are updated quarterly.

PRICE CHARTS / RATINGS AND PRICE TARGET HISTORY

Prior to April 1, 2024, Sanford C. Bernstein & Co., LLC. issued the ratings and price target information in the graph(s) below for the following companies: Datadog Inc.



All price target and closing price data in the chart(s) above are denominated in the currency noted in the Ticker Table of this report.

CONFLICTS OF INTEREST

Certain affiliates of Bernstein act as market maker or liquidity provider in the equities securities of: Datadog Inc.

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- +852 Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司; Hong Kong, China
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